

M/S Rana Griders Limited v. Paschimanchal Vidyut Vitran Nigam Ltd. and Another

High Court of Judicature at Allahabad · Division Bench · 8 April 2011 · Writ - C No. 73220 of 2010 · **Writ withdrawn with liberty to file a fresh petition; order dated 10.1.2011 recalled.**

HEADNOTE

A consumer challenged Paschimanchal Vidyut Vitran Nigam Ltd.'s demand, under Clause 4.49 of the U.P. Electricity Supply Code, 2005, of a bank guarantee of additional security as a condition of releasing 600 KVA additional load. On 10 January 2011 a Division Bench allowed the writ, following Tehri Girders (Civil Misc. Writ Petition No. 38 of 2009): Clause 4.49 applies only where recovery of dues has been stayed; additional security is not dues; at most the licensee may claim security for the additional load under Clause 4.20. On 8 April 2011, on applications to amend the cause title and for correction, counsel sought to withdraw the writ with liberty to file a fresh petition on behalf of the aggrieved persons. The Court recalled the 10 January 2011 order and allowed the petition to be withdrawn with that liberty. The Clause 4.49/4.20 construction therefore does not stand as a judgment of this Court.

FACTUAL SUMMARY

M/s Rana Griders Limited entered into a supply agreement with Paschimanchal Vidyut Vitran Nigam Ltd. on 25 January 2010. By office memorandum dated 29 November 2010 the licensee sanctioned 600 KVA additional load, to be released on depositing Rs.4,22,444 and furnishing a bank guarantee equivalent to additional security of Rs.1,16,27,400. That additional-security amount was already the subject of a pending writ in which the High Court had granted stay. The petitioner challenged the licensee's demand of that amount under Clause 4.49 of the U.P. Electricity Supply Code, 2005.

The writ was listed with Writ Petition No. 34864 of 2009. After a 10 January 2011 Division Bench order allowing the petition, applications were filed to amend the cause title and for correction. On 8 April 2011, after the matter was heard for some time, counsel for the applicant sought to withdraw the writ with liberty to file a fresh petition on behalf of the aggrieved persons. The Court recalled the 10 January 2011 order and disposed of the applications and the writ as withdrawn with that liberty.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

additional-security bank guarantee; merits order recalled; writ withdrawn

QUESTION

Does a Division Bench order allowing a writ against a Clause 4.49 additional-security demand survive when, on cause-title and correction applications, counsel then withdraws the petition with liberty to file a fresh writ by the aggrieved persons?

HOLDING

No. On applications to amend the cause title and for correction, and on counsel's prayer to withdraw the writ with liberty to file a fresh petition on behalf of the aggrieved persons, the Division Bench recalled its order dated 10 January 2011 — which had allowed the petition, following Tehri Girders, on the footing that Clause 4.49 applies only where recovery of dues has been stayed, that additional security is not dues, and that security for the additional 600 KVA may be claimed under Clause 4.20 — and disposed of the applications and the writ as withdrawn with that liberty. The Clause 4.49/4.20 construction does not survive as a judgment of the Court. ¶ [order of 8.4.2011](#)

QUALIFIER

The 10 January 2011 construction of Clauses 4.49 and 4.20 does not stand.

FLAG Thin procedural disposal. Source concatenates listings of 20.12.2010 and 22.12.2010 (Vineet Saran and Sabhajeet Yadav, JJ.), a 10.1.2011 merits order (F.I. Rebello, C.J. and Vineet Saran, J.) later recalled, and the 8.4.2011 withdrawal (same bench) with orders on C.M. Correction Application No. 75417 of 2011 and C.M. Amendment Application No. 44713 of 2011. Orders are unnumbered. Coram is the disposing bench. Clauses 4.49 and 4.20 were construed only in the recalled 10.1.2011 order.

writ-withdrawn-liberty-to-file-fresh-petition

After a 10.1.2011 order allowing the writ against a Clause 4.49 additional-security bank-guarantee demand, the Court on 8.4.2011 recalled that order on cause-title and correction applications and permitted withdrawal with liberty to file a fresh writ by the aggrieved persons, leaving the 4.49/4.20 point undecided. Lead authorities: *Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Ltd. and others*. ¶ [order of 8.4.2011](#)

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — WHETHER CLAUSE 4.49 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 APPLIED TO THE ADDITIONAL-SECURITY BANK-GUARANTEE DEMAND, AND WHETHER ADDITIONAL SECURITY IS 'DUES'**

The 10.1.2011 Division Bench held that Clause 4.49 applies only where recovery of dues has been stayed and that additional security is not dues, following *Tehri Girders* (Writ Petition No. 38 of 2009). That order was recalled on 8.4.2011.

¶ [order of 10.1.2011](#); [order of 8.4.2011](#)

NOT DECIDED — WHETHER THE LICENSEE COULD CLAIM SECURITY FOR THE ADDITIONAL 600 KVA ONLY UNDER CLAUSE 4.20, AND WHETHER THE 600 KVA ADDITIONAL LOAD HAD TO BE RELEASED ON SUCH SECURITY WITHOUT THE CLAUSE 4.49 BANK GUARANTEE

The recalled 10.1.2011 order accepted the petitioner's statement that it was ready to furnish Clause 4.20 security and made the petition absolute in terms of prayers 1 and 2. Those prayers are not reproduced. The point does not survive the recall.

¶ [order of 10.1.2011](#); [order of 8.4.2011](#)

NOT DECIDED — OTHER PENDING PETITIONS, INCLUDING WRIT PETITION NO. 34864 OF 2009 LISTED WITH THIS WRIT

The recalled 10.1.2011 order itself said other pending petitions were not covered by that judgment.

¶ [order of 22.12.2010](#); [order of 10.1.2011](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Ltd. and others</i> Civil Misc. Writ Petition No. 38 of 2009 Allahabad High Court (Division Bench)	Clause 4.49 of the U.P. Electricity Supply Code, 2005 does not apply to a demand of additional security; that clause is attracted only where recovery of dues has been stayed.	Cited and followed in the 10.1.2011 order, which recorded agreement that Clause 4.49 would not apply to additional security. That order was recalled on 8.4.2011; the following does not survive as a holding of this writ.	Court	Followed

SCJ-3078 · M/S Rana Griders Limited v. Paschimanchal Vidyut Vitran Nigam Ltd. and Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.